



NORTHERN TRUST

ASSET MANAGEMENT

10 PRINCIPLES OF EFFECTIVE INVESTING

and How to Make Them Work for You

10 PRINCIPLES OF EFFECTIVE INVESTING

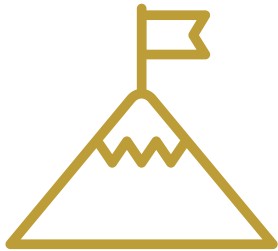
1. Investment Success Starts with a Plan
2. Be Risk Intelligent, Not Risk Averse
3. Market Participation is Important
4. Volatility Happens
5. Diversification Can Help to Manage Risk
6. Assets Serve a Purpose
7. Asset Allocation Can Help Drive Outcomes
8. Buy Low, Sell High
9. Factors Can Help Meet Goals
10. Cost Matters. Value Does Too.

PRINCIPLE #1: INVESTMENT SUCCESS STARTS WITH A PLAN

- Developing an investment plan can be critical to achieving the outcomes you seek
- Different investment goals may require different strategies
- The important thing is to begin
- Consider a professionally managed investment solution that adapts to changing market conditions, such as the Diversified Strategist Portfolios (DSP)

Considerations for a successful investment plan:

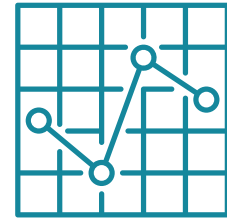
**Investment
Goals**



**Time
Horizon**



**Risk
Tolerance**



**Investable
Assets**



**Future
Contributions**



**Targeted
Returns**

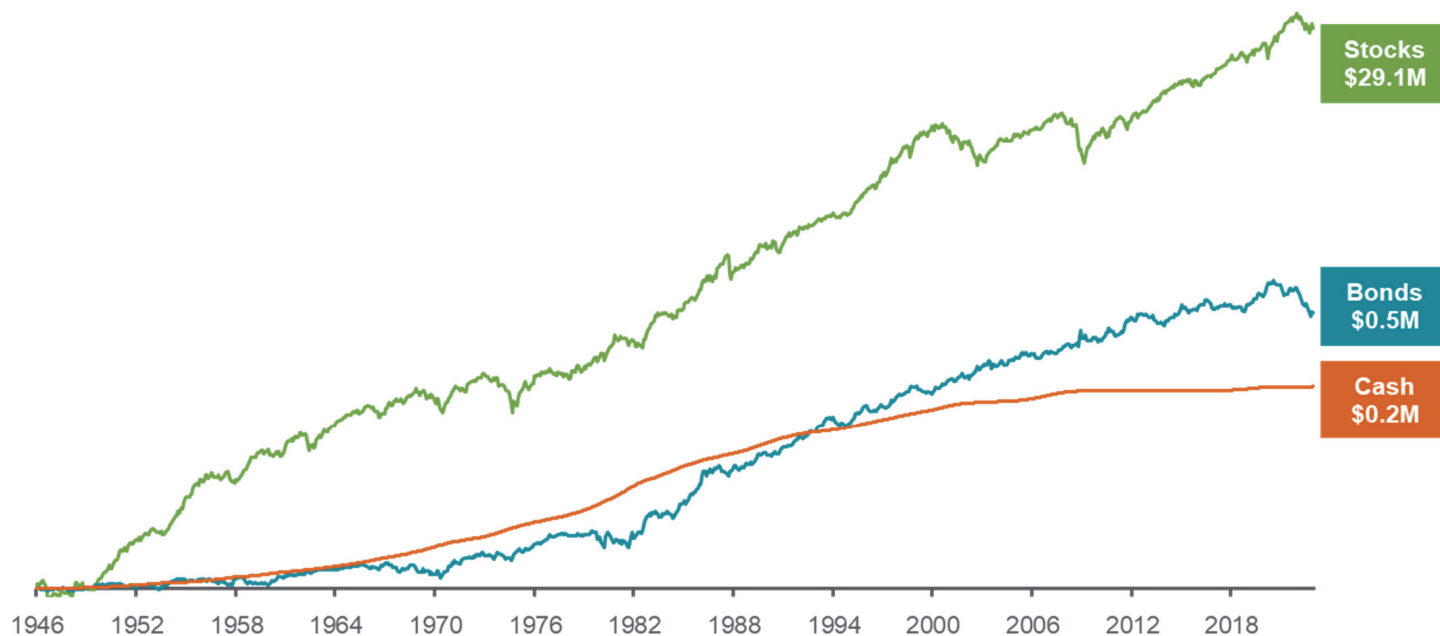


PRINCIPLE #2: BE RISK INTELLIGENT, NOT RISK AVERSE

- Historically, the markets have created value for investors over time
- Risk and return generally go hand in hand
- Seek to manage risk, not avoid it
- Stocks, bonds and cash all have a place in a well-diversified portfolio
- DSP offers built-in risk management to help deliver a smoother journey and potentially improve investment outcomes

Diversification is no guarantee against loss. Past performance is no guarantee of future results.

Hypothetical \$10,000 investment — 1946 to 2022



For illustrative purposes only. The chart above does not represent the performance of any Northern Trust product or strategy.

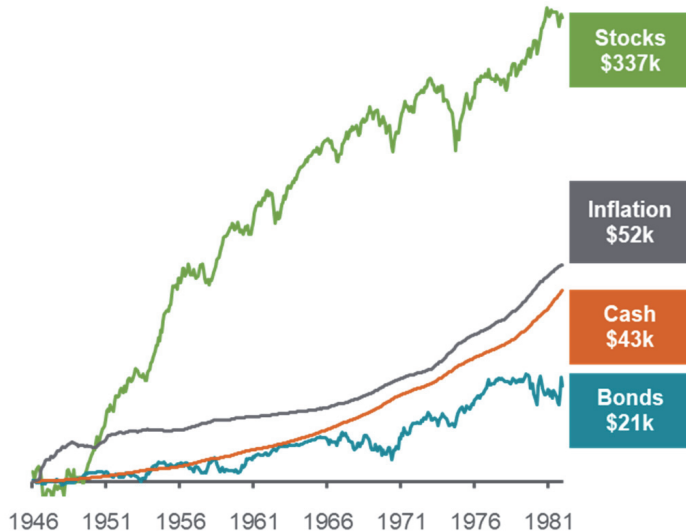
Source: Northern Trust Investment Strategy, Ibbotson, Bloomberg. Data from: 12/31/1945 to 12/31/2022. Past performance is no guarantee of future results.

Returns reflect the reinvestment of dividends and other earnings. Returns of the indexes also do not reflect the deduction of investment management fees, trading costs or other expenses. It is not possible to invest directly in an index. Indexes are the property of their respective owners, all rights reserved. Indexes used 12/31/45–12/31/19: Stocks = IA SBBI (Ibbotson) U.S. Large Stock Total Return USD which is the S&P 500 Total Return, Bonds = IA SBBI U.S. Long Term Government Total Return, Cash = IA SBBI U.S. 30 Day TBill Total Return. Indexes used 12/31/19–12/31/22: Stocks = S&P 500, Bonds = Bloomberg (BBG) U.S. Govt. Long, Cash = BBG U.S. 1 month Treasury Bills.

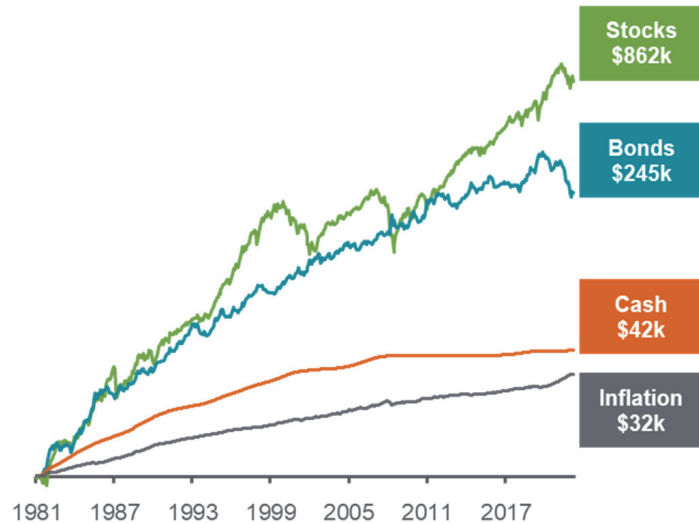
PRINCIPLE #3: MARKET PARTICIPATION IS IMPORTANT

- Inflation can erode purchasing power over time
- Investments perceived as low risk may actually be quite risky when viewed through the lens of inflation
- Historically stocks have been one of the best investments to build wealth and help outpace inflation
- DSP includes allocations to asset classes that seek to defend against rising inflation and participate in the market's potential for growth

Hypothetical \$10,000 investment 1946 to 1981



Hypothetical \$10,000 investment 1981 to 2022



For illustrative purposes only. The chart above does not represent the performance of any Northern Trust product or strategy.

Source: Northern Trust Investment Strategy, Ibbotson. Left chart data from: 12/31/1945 to 12/31/1981. Right chart data from: 12/31/1981 to 12/31/2022.

Past performance is no guarantee of future results. Returns reflect the reinvestment of dividends and other earnings. Returns of the indexes also do not reflect the deduction of investment management fees, trading costs or other expenses. It is not possible to invest directly in an index. Indexes are the property of their respective owners, all rights reserved. Indexes used 12/31/45 – 12/31/19: Stocks = IA SBBI (Ibbotson) U.S. Large Stock Total Return USD which is the S&P 500 Total Return; Bonds = IA SBBI U.S. Long Term Government Total Return, Cash = IA SBBI U.S. 30 Day T-Bill Total Return, Inflation = IA SBBI U.S. Inflation. Indexes used 12/31/19 – 12/31/22: Stocks = S&P 500; Bonds = Bloomberg (BBG) U.S. Govt. Long, Cash = (BBG) U.S. 1 month Treasury Bills, Inflation = Headline Consumer Price Index m/m change.

PRINCIPLE #4: VOLATILITY HAPPENS

- Market volatility is inevitable; reacting emotionally can be detrimental to investment success
- History demonstrates that despite periods of volatility, the markets have not only recovered—but gone on to reach new highs¹
- Missing even just a few of the best days of returns can materially impact your portfolio's performance
- DSP can help you stick to your investment plan in an effort to increase the likelihood of a successful outcome

¹ Northern Trust Asset Management, GS Portfolio Strategy Research, Bloomberg. *Bear Market Declines and the Strong Returns Since. 9/28/22. Historical trends are not predictive of future results.*

Hypothetical growth of \$10,000 invested in the S&P 500 (Dec. 1979 – Dec. 2022)



For illustrative purposes only. The chart above does not represent the performance of any Northern Trust product or strategy.

Source: Northern Trust, Bloomberg. Data from 12/31/1979 – 12/31/2022. S&P 500 price index data 12/31/1979 -12/31/1987; S&P 500 total return index 12/31/1987 to 12/31/2022. Past performance is no guarantee of future results. Returns reflect the reinvestment of dividends and other earnings, if applicable. Returns of the indexes do not reflect the deduction of investment management fees, trading costs or other expenses. It is not possible to invest directly in an index. Indexes are the property of their respective owners, all rights reserved.

PRINCIPLE #5: DIVERSIFICATION CAN HELP TO MANAGE RISK

- Diversification is the process of allocating investment holdings across various asset classes, industries, companies and countries, at home and abroad
- The best-performing asset class changes from year-to-year; these cycles are difficult to predict
- Many investment opportunities exist outside the United States; home country bias can negatively impact investment results
- DSP seeks to enhance investment returns and reduce risk via professionally managed allocations to a variety of globally diversified asset classes

Diversification is no guarantee against loss.

	2013	2014	2015	2016	2017	2018	2019	2020	2021	2022	10 YEAR CAGR
Higher Returns	U.S. Equities 32.6	Global RE 15.1	U.S. Equities 1.3	Natural Res. 32.3	EM Equities 37.8	Cash 1.8	U.S. Equities 31.6	U.S. Equities 21.4	U.S. Equities 27.0	Natural Res. 10.3	U.S. Equities 12.4
	Dev. ex-U.S. 21.6	U.S. Equities 13.4	Global RE 1.1	High Yield 17.1	Dev. ex-U.S. 24.8	Inv. Grade 0.0	Infrastructure 27.0	EM Equities 18.7	Natural Res. 25.2	Cash 1.5	Infrastructure 6.5
	Infrastructure 15.0	Infrastructure 13.0	Inv. Grade 0.5	Infrastructure 12.4	Natural Res. 22.7	TIPS -1.3	Global RE 23.8	MAC 12.4	Global RE 23.3	Infrastructure -0.2	Dev. ex-U.S. 5.1
	MAC 9.1	Inv. Grade 6.0	Cash 0.0	U.S. Equities 11.6	U.S. Equities 21.9	High Yield -2.1	Dev. ex-U.S. 23.2	TIPS 11.0	Dev. ex-U.S. 13.2	High Yield -11.2	MAC 5.0
	High Yield 7.4	MAC 4.5	TIPS -1.4	EM Equities 11.6	Infrastructure 20.1	U.S. Equities -4.5	EM Equities 18.9	Dev. ex-U.S. 8.1	Infrastructure 11.9	TIPS -11.8	Natural Res. 4.9
	Global RE 3.4	TIPS 3.6	Dev. ex-U.S. -2.6	MAC 7.8	Global RE 15.5	MAC -5.7	MAC 17.6	Inv. Grade 7.5	MAC 9.9	Inv. Grade -13.0	High Yield 4.0
	Natural Res. 1.5	High Yield 2.5	MAC -2.7	Global RE 4.9	MAC 14.2	Global RE -6.3	Natural Res. 17.2	High Yield 7.0	TIPS 6.0	MAC -13.3	Global RE 3.8
	Cash 0.0	Cash 0.0	High Yield -4.4	TIPS 4.7	High Yield 7.5	Infrastructure -9.5	High Yield 14.3	Natural Res. 0.7	High Yield 5.3	Dev. ex-U.S. -13.8	EM Equities 1.8
	Inv. Grade -2.0	EM Equities -1.8	Infrastructure -11.5	Dev. ex-U.S. 3.3	Inv. Grade 3.5	Natural Res. -12.6	Inv. Grade 8.7	Cash 0.5	Cash 0.0	U.S. Equities -19.5	TIPS 1.1
	EM Equities -2.3	Dev. ex-U.S. -3.9	EM Equities -14.6	Inv. Grade 2.6	TIPS 3.0	Dev. ex-U.S. -13.6	TIPS 8.4	Infrastructure -5.8	Inv. Grade -1.5	EM Equities -19.7	Inv. Grade 1.1
Lower Returns	TIPS -8.6	Natural Res. -9.7	Natural Res. -24.0	Cash 0.3	Cash 0.8	EM Equities -14.2	Cash 2.2	Global RE -8.0	EM Equities -2.2	Global RE -24.1	Cash 0.7

Source: Northern Trust Asset Management, Bloomberg. Gross total returns in USD. See list of indices used in this exhibit on page 27. MAC (Multi-Asset Class) = Northern Trust Tactical Asset Allocation decisions for global asset allocation model, tracked using preferred Investment Policy Committee asset class index proxies. CAGR = Compound Annual Growth Rate (trailing 10 years through 12/31/22). Past performance is no guarantee of future results. Periods greater than one year are annualized except where indicated. Returns reflect the reinvestment of dividends and other earnings. Returns of the indexes do not reflect the deduction of investment management fees, trading costs or other expenses. It is not possible to invest directly in an index. Indexes are the property of their respective owners, all rights reserved. Dev. Ex-US = Developed Markets excluding the U.S.; Global RE = Global Real Estate; Natural Res. = Natural Resources; Inv. Grade = Investment Grade bonds; EM Equities = Emerging Markets Equities; TIPS = Treasury Inflation-Protected Securities.

PRINCIPLE #6: ASSETS SERVE A PURPOSE

- DSP employs an outcome-oriented investment approach that seeks to align assets with goals
- Risk assets have the potential to grow the value of your portfolio over time to fund longer term and discretionary goals
- Risk control assets serve as a risk management tool and may provide a stable source of funds to help meet income and liquidity needs
- Risk and risk control assets exhibit a low correlation with one another
- DSP features a carefully designed mix of risk and risk control assets including allocations to real assets, high yield fixed income and TIPS

RISK ASSETS

*Assets designed to
provide long-term
capital appreciation
in a risk-efficient way*

GLOBAL EQUITIES

*Capital Appreciation
(Growth)*

HIGH YIELD

*Income
Generation*

NATURAL RESOURCES

*Risk
Management*

GLOBAL REAL ESTATE

*Risk
Management*

GLOBAL LISTED INFRASTRUCTURE

*Risk
Management*

RISK CONTROL ASSETS

*Assets designed to
dampen volatility and
meet near-term goals*

CASH

*Liquidity
Management*

INVESTMENT GRADE FIXED INCOME

*Income
Generation*

INFLATION- PROTECTED FIXED INCOME

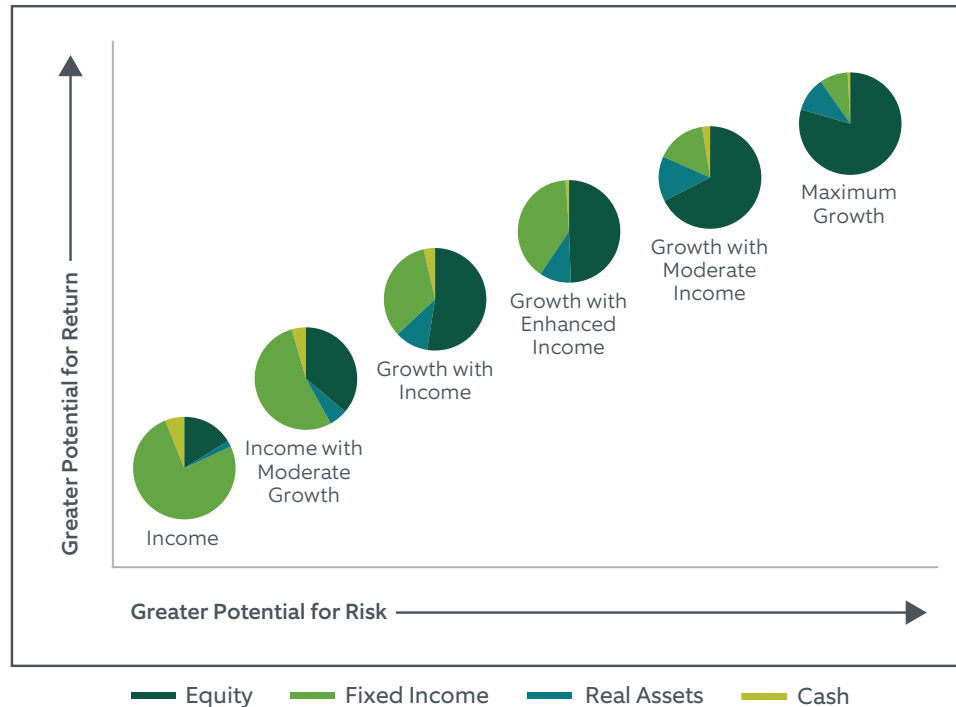
*Risk
Management*

PRINCIPLE #7: ASSET ALLOCATION CAN HELP DRIVE OUTCOMES

- Asset allocation entails allocating your investment holdings to different asset classes including stocks (equity), bonds (fixed income), real assets and cash
- Asset allocation is widely recognized as a key factor in investment performance¹
- DSP includes multi-asset class solutions for objectives from income to maximum growth
- DSP is built on an adaptive asset allocation framework that aligns with each portfolio's goal

¹Gary P. Brinson, L. Randolph Hood and Gilbert L. Beebower. *Determinants of Portfolio Performance*. July-August, 1986. <https://www.jstor.org/stable/4478947>
Neither asset allocation nor diversification guarantee a profit or protect against loss in a declining market.

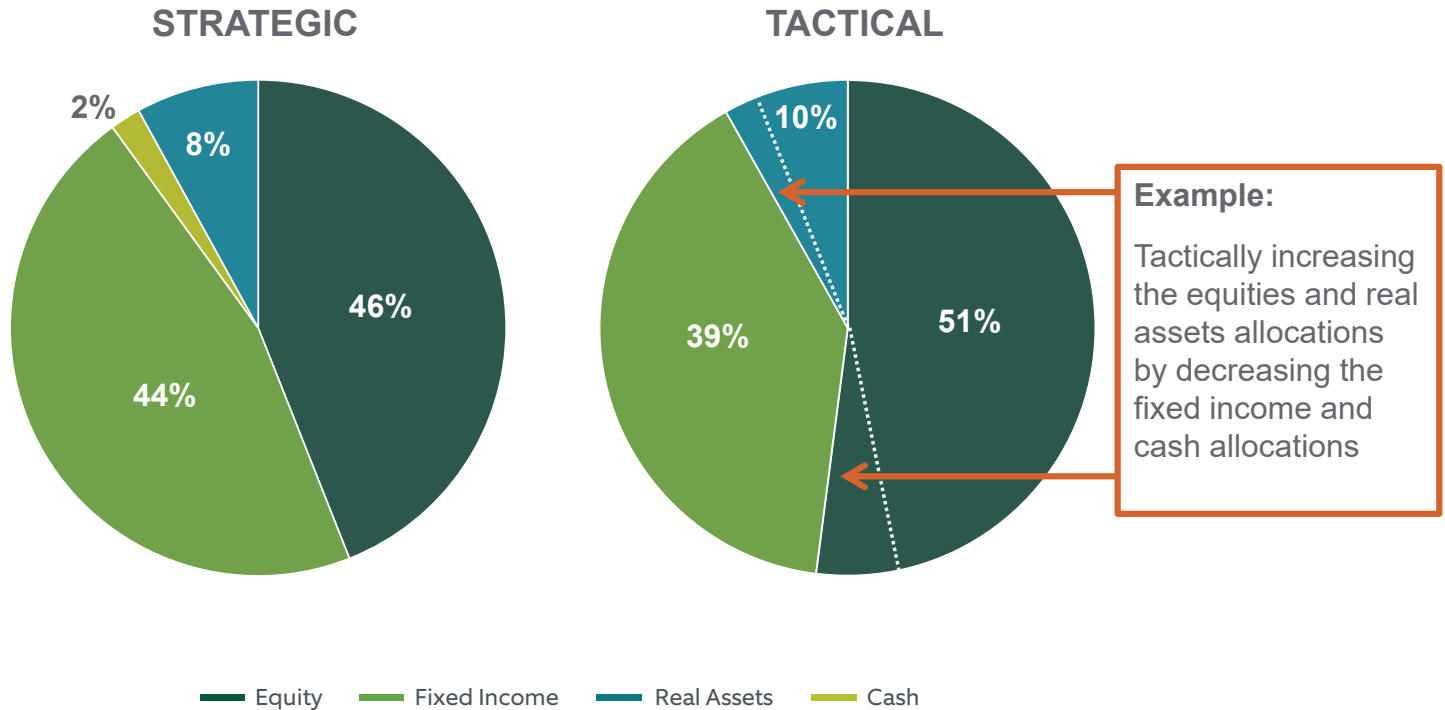
The Diversified Strategist Portfolios: Multi-asset solutions for a range of objectives



PRINCIPLE #8: BUY LOW, SELL HIGH

- Short-term market dips can be buying opportunities
- A dynamic approach to portfolio management can be beneficial
- DSP seeks to capitalize on market movements and defend against volatility via short-term tactical adjustments to the portfolios' long-term strategic allocations
- The tactical adjustments are made within specified guidelines
- These adjustments seek to add value over a static asset allocation approach

Tactical adjustments anchored to the strategic starting point

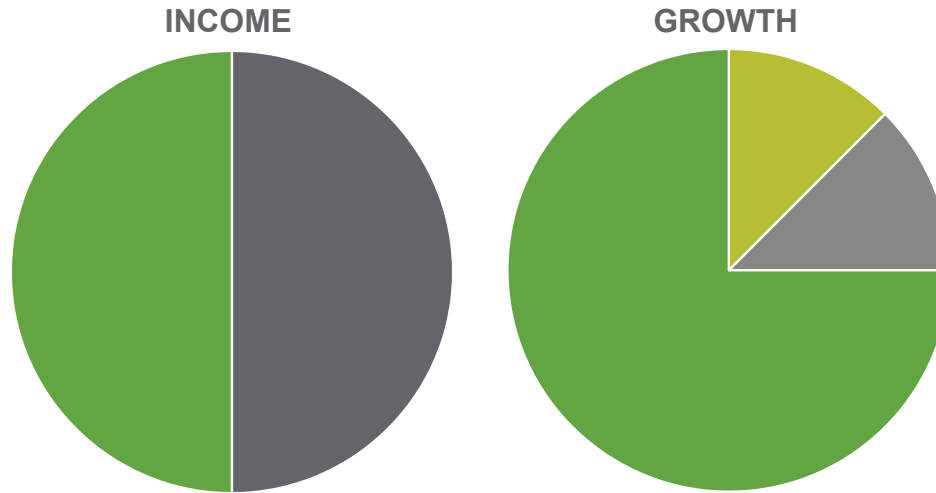


PRINCIPLE #9: FACTORS CAN HELP MEET GOALS

- Research shows that certain investment factors have demonstrated outperformance with less risk over time¹
- Such factors include: high quality, dividend yield, low volatility, value and small size
- Targeting the right combination of factors can be critical
- DSP seeks to deliver added value through a core allocation to quality and other targeted equity factor exposures
- Investors looking for more income may look to dividend yield; those looking for growth may tilt toward small size and value

¹*Foundations in Factors. Northern Trust Asset Management Quantitative Research. 10/25/21. Historical trends are not predictive of future results.*

Carefully selected equity factors for investors looking for:



HIGH QUALITY

Companies with sound management, consistent earnings and steady finances

DIVIDEND YIELD

*Companies providing
above average dividends*

VALUE

*Companies whose stock
prices are at cheaper levels*

SMALL SIZE

*Smaller companies
with room to grow*

PRINCIPLE #10: COST MATTERS. VALUE DOES TOO.

- DSP offers a holistic investment solution backed by Northern Trust's time-tested asset allocation, risk management and portfolio construction expertise
- DSP seeks to enable investors to pursue their goals with confidence
- DSP seeks to provide value at a reasonable cost
- Underlying investments include cost-efficient FlexShares® ETFs and Northern Funds managed by Northern Trust, within the structure of a single separately managed account

DIVERSIFIED STRATEGIST PORTFOLIOS

Portfolio Holdings as of December 31, 2022

			Asset Allocation% ¹				
			Equity	Real Assets	Fixed Income	Cash/ST	
	Ticker	Expense Ratio	Maximum Growth	Growth with Moderate Income	Growth with Income	Income with Moderate Growth	Income
FlexShares Exchange Traded Funds			74.9%	58.9%	42.0%	26.0%	6.1%
EQUITY							
US Equity							
FlexShares US Quality Large Cap Index Fund	QLC	0.25%	23.5%	22.2%	20.3%	—	—
FlexShares Morningstar US Market Factor Tilt Index Fund	TILT	0.25%	23.5%	14.8%	6.8%	—	—
FlexShares Quality Dividend Index Fund	QDF	0.37%	—	—	—	17.0%	4.1%
Developed ex-US Equity							
FlexShares Morningstar Developed Markets ex-US Factor Tilt Index Fund	TLTD	0.39%	23.0%	18.0%	13.0%	9.0%	2.0%
Emerging Market Equity							
FlexShares Morningstar Emerging Markets Factor Tilt Index Fund	TLTE	0.59%	4.9%	3.9%	2.0%	—	—
REAL ASSETS			11.9%	11.9%	9.8%	6.1%	0.0%
Global Natural Resources							
FlexShares Morningstar Global Upstream Natural Resources Index Fund	GUNR	0.46%	8.0%	7.0%	6.0%	4.0%	—
Global Real Estate							
FlexShares Global Quality Real Estate Index Fund	GQRE	0.45%	0.9%	2.4%	1.8%	1.1%	—
Global Infrastructure							
FlexShares STOXX Global Infrastructure Index Fund	NFRA	0.47%	3.0%	2.5%	2.0%	1.0%	—
FIXED INCOME			12.0%	25.0%	43.2%	62.0%	85.9%
US Investment Grade Fixed Income							
FlexShares Core Select Bond Fund	BNDC	0.35%	—	10.0%	27.2%	45.0%	68.1%
US High Yield Fixed Income							
FlexShares High Yield Value-Scored Bond Index Fund	HYGV	0.37%	12.0%	13.0%	11.0%	9.0%	6.9%
Treasury Inflation-Protected Securities							
FlexShares iBoxx 3-Year Target Duration TIPS Index Fund	TDTT	0.18%	—	2.0%	5.0%	7.9%	10.9%
CASH & SHORT-TERM			1.2%	4.2%	5.0%	6.0%	8.0%
FlexShares Ultra-Short Income Fund (formerly, [known as])	RAVI	0.25%	—	3.0%	4.0%	4.9%	7.0%
FlexShares Ready Access Variable Income Fund)							
Money Market ²		0.35%	1.2%	1.3%	1.1%	1.0%	1.0%
Asset-weighted expense ratio ³			0.34%	0.34%	0.33%	0.35%	0.33%

The portfolio holdings, are for illustrative purposes only, subject to change and can vary for individual accounts. Please see important disclosures on page 27 and the back cover. Please contact your Financial Advisor to discuss Northern Trust Investments, Inc. strategies and investment solutions.

DIVERSIFIED STRATEGIST PORTFOLIOS

Tax Sensitive

Portfolio Holdings as of December 31, 2022



FlexShares ETF / Northern Fund	Ticker	Expense Ratio	Maximum Growth	Growth with Moderate Income	Growth with Income	Income with Moderate Growth	Income
EQUITY			74.9%	58.9%	42.0%	26.0%	6.1%
US Equity							
FlexShares US Quality Large Cap Index Fund	QLC	0.25%	23.5%	22.2%	20.3%	—	—
FlexShares Morningstar US Market Factor Tilt Index Fund	TILT	0.25%	23.5%	14.8%	6.8%	—	—
FlexShares Quality Dividend Index Fund	QDF	0.37%	—	—	—	17.0%	4.1%
Developed ex-US Equity							
FlexShares Morningstar Developed Markets ex-US Factor Tilt Index Fund	TLTD	0.39%	23.0%	18.0%	13.0%	9.0%	2.0%
Emerging Market Equity							
FlexShares Morningstar Emerging Markets Factor Tilt Index Fund	TLTE	0.59%	4.9%	3.9%	2.0%	—	—
REAL ASSETS			11.9%	11.9%	9.8%	6.1%	0.0%
Global Natural Resources							
FlexShares Morningstar Global Upstream Natural Resources Index Fund	GUNR	0.46%	8.0%	7.0%	6.0%	4.0%	—
Global Real Estate							
FlexShares Global Quality Real Estate Index Fund	GQRE	0.45%	0.9%	2.4%	1.8%	1.1%	—
Global Infrastructure							
FlexShares STOXX Global Infrastructure Index Fund	NFRA	0.47%	3.0%	2.5%	2.0%	1.0%	—
FIXED INCOME			12.0%	25.0%	43.3%	62.0%	85.9%
US Investment Grade Fixed Income							
Northern Tax-Exempt Fund	NOTEX	0.45%	—	10.0%	27.3%	45.1%	68.2%
US High Yield Fixed Income							
Northern High Yield Municipal Fund	NHYMX	0.59%	12.0%	13.0%	11.0%	9.0%	6.8%
Treasury Inflation-Protected Securities							
FlexShares iBoxx 3-Year Target Duration TIPS Index Fund	TDDT	0.18%	—	2.0%	5.0%	7.9%	10.9%
CASH & SHORT-TERM			1.2%	4.2%	5.0%	6.0%	8.0%
FlexShares Ultra-Short Income Fund (formerly, [known as])	RAVI	0.25%	—	3.0%	4.0%	4.9%	6.9%
FlexShares Ready Access Variable Income Fund)							
Money Market ²		0.35%	1.2%	1.3%	1.0%	1.0%	1.0%
Asset-weighted expense ratio ³			0.37%	0.38%	0.38%	0.41%	0.41%

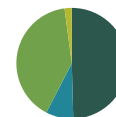
DIVERSIFIED STRATEGIST PORTFOLIOS

Growth with Enhanced Income Portfolio

Portfolio Holdings as of December 31, 2022

Asset Allocation%¹

Equity Real Assets Fixed Income Cash/ST



FlexShares Exchange Traded Funds	Ticker	Expense Ratio ³	Estimated SEC Yield ⁴	Estimated Trailing 12-Month Yield ⁴	Allocation ¹
EQUITY					47.5%
US Equity					
FlexShares Quality Dividend Index Fund	QDF	0.37%	2.81%	2.45%	24.7%
Developed ex-US Equity					
FlexShares International Quality Dividend Index Fund	IQDF	0.47%	5.97%	5.56%	22.8%
REAL ASSETS					10.7%
Global Natural Resources					
FlexShares Morningstar Global Upstream Natural Resources Index Fund	GUNR	0.46%	4.04%	4.13%	5.7%
Global Real Estate					
FlexShares Global Quality Real Estate Index Fund	GQRE	0.45%	3.39%	2.56%	2.3%
Global Infrastructure					
FlexShares STOXX Global Infrastructure Index Fund	NFRA	0.47%	2.87%	2.28%	2.6%
FIXED INCOME					38.3%
US High Yield					
FlexShares High Yield Value-Scored Bond Index Fund	HYGV	0.37%	10.10%	7.68%	21.4%
US Investment Grade					
FlexShares Core Select Bond Fund	BNDC	0.35%	2.46%	2.64%	7.9%
FlexShares Credit-Scored US Corporate Bond Index Fund	SKOR	0.22%	4.91%	2.57%	6.9%
Treasury Inflation-Protected Securities					
FlexShares iBoxx 3-Year Target Duration TIPS Index Fund	TDTT	0.18%	6.56%	6.98%	2.1%
CASH & SHORT-TERM					3.5%
FlexShares Ultra-Short Income Fund (formerly, [known as])	RAVI	0.25%	4.32%	1.70%	2.9%
FlexShares Ready Access Variable Income Fund)					
Money Market ²		0.35%	3.78%	1.23%	0.6%
Total (asset-weighted)^{3,4}		0.38%	5.42%	4.46%	
Enhanced Yield vs. Passive Index Benchmark (60% MSCI ACWI (net)/25% AGG/15% High Yield) ^{4,5}				+1.48%	

The portfolio holdings, are for illustrative purposes only, subject to change and can vary for individual accounts. Please see important disclosures on page 27 and the back cover. Please contact your Financial Advisor to discuss Northern Trust Investments, Inc. strategies and investment solutions. Note: Yield is only one component of total return. Please see Factsheets for total returns. Investment returns can differ significantly from total portfolio yield.

ABOUT NORTHERN TRUST

Established in 1889

Headquartered in Chicago, IL

Locations in 20+ countries

22,000+ global employees

“
World’s
most admired
companies® ”

15th consecutive year.

*Fortune Magazine, Feb. 28, 2022,
based on 2021 industry survey.¹*

Service

Relentless drive
to provide
exceptional
service.

Expertise

Resolving
complex
challenges with
multi-asset class
capabilities.

Integrity

Acting with the
highest ethics,
utmost honesty
and unfailing
reliability.

Data as of 12/31/22.

¹Source: Fortune, Korn Ferry. In 2022, 635 survey participants with \$10B+ in revenues, from 29 countries and 52 industries, were asked to rate companies in their own industry on nine criteria. A company's score must rank in the top half of its industry survey to be listed among the World's Most Admired Companies.

Visit <http://fortune.com/worlds-most-admired-companies> for additional details and survey results. Past performance is not indicative of future results.

IMPORTANT INFORMATION

Page 13: Indices used in the exhibit include:

EM Equities: MSCI Daily Total Return Gross EM USD

Dev. ex-U.S.: MSCI Daily Total Return Gross World Ex US Total Return Index

Global RE: FTSE EPRA/NAREIT Global (years through 2020) and MSCI ACWI IMI Core RE Total Return Gross USD (2021 through 2022 and 10-year CAGR)

High Yield: Bloomberg US High Yield 2% Issuer Cap

U.S. Equities: MSCI Daily Total Return Gross USA USD

TIPS: Bloomberg US Treasury Inflation Notes Total Return

Infrastructure: S&P Global Infrastructure Total Return

Page 23 – 25: The portfolio weights and statistics shown are based on NTI model portfolios and are not calculated or derived from any Unified Managed Account (UMA) or Model Delivery Platform (MDP). Under Model Delivery Platform (MDP) arrangements, NTI only provides a model to the Sponsor Firm for Unified Managed Accounts (UMAs) and/or Separately Managed Accounts (SMAs), and does not have trading discretion over these accounts. As a result, MDP accounts may contain different investments based on parameters that govern the use of multiple managers and other restrictions. There may also be performance dispersion between accounts as a result of NTI's lack of trading discretion over the MDP models.

The information in this report has been obtained from sources believed to be reliable, but its accuracy and completeness are not guaranteed. FlexShares® ETFs and Northern Funds are advised by Northern Trust Investments, Inc. For more information on the investment objectives, principle risks, and fees associated with these Funds, please see each Fund's prospectus and statement of additional information ("SAI"), which are available on the Advisors' websites at northernfunds.com and flexshares.com.

- ¹ Asset Allocation percentages reflect those of NTI's model portfolio as of close of business as of the date shown. Current and future weights may differ at the discretion of the portfolio manager. Actual client portfolios may vary. There is no assurance that any of the securities discussed herein will remain in a portfolio at the time you receive this report or that securities sold have not been repurchased. It should not be assumed that any of the securities transactions or holdings discussed have been or will be profitable or that the investment recommendations or decisions we make in the future will be profitable or will equal the investment performance of the securities discussed herein.
- ² Money Market expense ratio assumes the use of NTI's money market funds. The client's fee may vary based on the specific money market fund in which the client is invested.
- ³ Asset-weighted expense ratios are calculated by multiplying each fund's expense ratio by its portfolio weight and then summing the results. Each fund's expense ratio is sourced from the fund provider's website using the current expense ratios as stated in the most recent prospectuses as of the date of this report. Expense ratios calculate the cost to an investment company to operate a fund. The ratio is calculated annually by dividing a fund's operating expenses by the average dollar value of its assets under management. Operating expenses are taken out of a fund's assets and lower the return to a fund's investors. Actual portfolio fees will vary. Fund expense ratios do not reflect additional transaction, advisory, or management fees and other charges that may be paid for in a separately managed account (SMA), UMA, or MDP. Net investment returns would be reduced by those applicable fees. Clients should refer to their Financial Advisor for more information on such fees.
- ⁴ Estimated yields for the model strategy are calculated using a weighted average yield for each of the underlying funds. The "Estimated SEC Yield" utilizes the SEC subsidized yield computed under an SEC standardized formula based on net income earned over the past 30 days (7 days for money market funds). It is a "subsidized" yield, which means it includes contractual expense reimbursements and it would be lower without those reimbursements. The "Estimated Trailing 12-month Yield" is the sum of a fund's total trailing 12-month interest and dividend payments divided by the last month's ending share price (NAV) plus any capital gains distributed over the same period. Estimated Yields are calculated gross of any additional fees and other fees not already netted within the funds such as usual and customary brokerage commissions when buying or selling shares of ETFs in the secondary market. Dividends and yields are not guaranteed and are subject to change or elimination. Due to the unique process of redemption and creation of ETFs, an irregular payment could occur during a given period causing an overstatement or understatement of estimated income. The Blended Index yield is a weighted average of the trailing 12-month yield for the equity indices and the yield-to-worst of the fixed income indices. NTI uses data and other information provided by external sources to calculate yields. While NTI believes these sources to be reliable, we cannot guarantee the accuracy of the yield calculations of the underlying funds. Actual client portfolio yields will vary. Note: Yield is only one component of total return. Investment returns can differ significantly from total portfolio yield. Past performance is not a guarantee of future results and does not necessarily indicate how the model strategy or underlying funds will perform in the future.
- ⁵ The MSCI ACWI Index (net) is a free float-adjusted market capitalization weighted index that is designed to measure the equity market performance of developed and emerging markets. Net total return indices reinvest dividends after the deduction of withholding taxes, using (for international indices) a tax rate applicable to non-resident institutional investors who do not benefit from double taxation treaties. The Bloomberg U.S. High Yield 2% Issuer Capped index is an issuer-constrained version of the Bloomberg U.S. Corporate High Yield Index that measures the market of U.S. dollar-denominated, noninvestment-grade, fixed rate, taxable corporate bonds. The index limits the exposure of each issuer to 2% of the total market value. The Bloomberg U.S. Aggregate Bond Index is an unmanaged index of prices of U.S. dollar-denominated, fixed rate, taxable, investment grade fixed income securities with remaining maturities of one year and longer. It is not possible to invest directly in an index.

The information in this report has been obtained from sources believed to be reliable, but its accuracy and completeness are not guaranteed.

Natural Res.: FTSE EPRA/NAREIT Global (years through 2020) and MSCI ACWI IMI Core RE Total Return Gross USD (2021 through 2022 and 10-year CAGR)

MAC: (Multi-Asset Class) Northern Trust Tactical Asset Allocation decisions for global asset allocation model, tracked using preferred Investment Policy Committee asset class index proxies.

Inv. Grade: Bloomberg U.S. Agg Total Return

Cash: Bloomberg U.S. Treasury Bill

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